

Theme 3.2 Global Labour Markets, Inequality & Redistribution — Edexcel B

Specification coverage: This topic covers Edexcel B (9EB0) Theme 3 sections **3.5 Global labour markets** and **3.6 Inequality and re-distribution**. Note carefully what is *not* here: 9EB0 does not examine development theory — no Harrod-Domar, no Lewis model, no Prebisch-Singer, no development strategies and no composite development indices. Those belong to Edexcel A. What 9EB0 wants is the economics of labour crossing borders, and the economics of poverty, inequality and redistribution. Every figure below is dated; data is current as of **September 2026**.

1. Global Labour Markets: Interdependence

Global labour market: The worldwide market in which the supply of labour and the demand for labour interact across national borders — through workers migrating to jobs, through jobs being relocated to workers via outsourcing and offshoring, and through multinational firms allocating production between countries.

1.1 What Makes National Labour Markets Interdependent

A labour market that was once bounded by a national border is now linked to labour markets elsewhere through four channels:

- **Migration of workers:** labour physically moves to where the wages and opportunities are — 304 million people lived outside their country of birth in 2024 (UN DESA, *International Migrant Stock 2024*).
- **Migration of jobs:** where the work can be digitised or containerised, firms move the job to the worker instead — offshoring and outsourcing.

- **MNC location decisions:** a multinational choosing between a plant in Slovakia and one in Morocco is, in effect, putting two national workforces into direct competition.
- **Trade in goods:** importing a labour-intensive good is economically similar to importing the labour that made it, which is why import competition affects wages even for workers who never compete with a migrant.

The consequence is that a shock in one country transmits to others. A recession in the Gulf reduces remittances to Kerala and Nepal. An immigration rule change in London affects nursing wages in Manila. A tariff on Chinese electric vehicles affects employment in Hungary as well as in Shenzhen.

1.2 The Global Supply of Skilled and Unskilled Labour

The two ends of the global labour market behave very differently, and this asymmetry explains a great deal about modern inequality.

	Unskilled and low-skilled labour	Skilled and highly skilled labour
Global supply	Very large and still growing, concentrated in populous low- and middle-income countries	Scarce relative to demand, and slow to expand because it requires years of education and training
Elasticity of supply	Highly elastic — more workers can be drawn in quickly	Inelastic in the short and medium run — you cannot train a cardiologist or a semiconductor engineer in a year
Mobility	Legally restricted: most rich countries admit few low-skilled migrants	Legally privileged: skilled and investor visa routes exist almost everywhere
Effect of globalisation on wages	Downward pressure in rich countries, as work is offshored or performed by migrants; upward pressure in poor countries as export demand raises the derived demand for labour	Upward pressure almost everywhere — skilled workers can sell into a world market and technology is complementary to their skills

Bargaining power	Weak: easily substituted, often non-unionised, frequently in informal or temporary work	Strong: scarce, hard to replace, often able to bid up pay by moving between employers or countries
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Two further features of global labour supply matter for the exam:

- **Demography is diverging.** Working-age populations are shrinking in Japan, Italy, Germany, China and South Korea, while sub-Saharan Africa and South Asia will supply most of the growth in the world's labour force over the coming decades. This mismatch is the fundamental driver of both migration pressure and of offshoring.
- **The informal sector is enormous.** A very large share of employment in low-income countries is informal — no contract, no social insurance, no enforceable minimum wage — which limits how far labour-market regulation can raise living standards there.

2. International Migration of Labour

Economic migration: The movement of workers from one country to another primarily in search of higher wages, better employment prospects or improved living standards. It is distinct from forced displacement, though in practice flows often mix the two.

2.1 Causes of Migration: Push and Pull Factors

Push factors (source country)	Pull factors (destination country)
Low wages and limited earning potential	Substantially higher real wages for the same work — often a multiple, not a margin
High unemployment or underemployment	Labour shortages and unfilled vacancies
Poor public services — health, education, water, power	Better public services, and access to them for a worker's children

Conflict, persecution and political instability	Political stability, rule of law and personal security
Climate shocks, drought, flooding and land degradation	Established diaspora networks that lower the cost and risk of moving
Lack of opportunity for women and minorities	Open legal routes — work visas, student routes, free movement within a bloc
Rapid growth in the working-age population outstripping job creation	Ageing populations creating demand in health and social care

Two refinements examiners reward. First, migration is **selective**: because moving is costly, migrants tend to be younger, better educated and more risk-tolerant than the population they leave — which is why the effects on the source country are not simply the mirror image of the effects on the host. Second, migration depends on the **expected** wage gain, not the actual one — that is, the wage differential multiplied by the probability of getting a job, net of migration costs and legal risk.

2.2 The Scale and Pattern of Migration

- **304 million** international migrants in 2024 — 3.7% of the world's population, up from 275 million in 2020 and 77 million in 1960 (UN DESA, *International Migrant Stock 2024*, published 2025). The share of the world's population has risen only modestly; the absolute number has risen fast because the world's population has grown.
- Migration is concentrated in **corridors**: Mexico to the US, South Asia to the Gulf, Ukraine and Poland to Western Europe, the Philippines to healthcare systems worldwide.
- The **Gulf Cooperation Council states** are among the world's most migrant-dependent economies; migrants form a majority of the workforce in several of them.
- **UK net migration was 171,000 in the year to December 2025** — 813,000 people arriving and 642,000 leaving — down from 331,000 the year before (ONS, *Long-term international migration, provisional*, published 21 May 2026). On the ONS's revised methodology, net migration peaked at around 848,000 in the year to December 2023.

2.3 Effects of Migration on the Host Economy

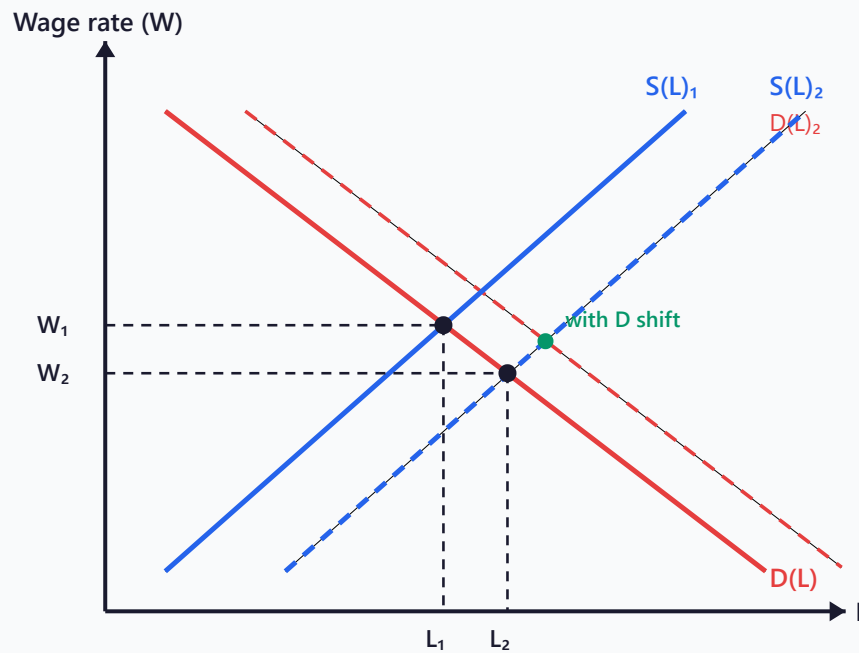


Figure 1: Immigration in a competitive labour market. The inflow of workers shifts labour supply right from $S(L)_1$ to $S(L)_2$, lowering the equilibrium wage from W_1 to W_2 and raising employment from L_1 to L_2 . But migrants also consume, pay tax and start businesses, shifting labour demand right to $D(L)_2$ — at the green point the wage effect is much smaller and employment higher still. Which effect dominates is an empirical question, and the answer differs by skill group.

Benefits to the host economy

- **Fills labour shortages** in sectors where domestic supply is inadequate — health and social care, agriculture, hospitality, construction, logistics.
- **Increases aggregate supply:** a larger labour force raises potential output and shifts the LRAS curve right, allowing faster non-inflationary growth.
- **Increases aggregate demand:** migrants rent, shop, and pay VAT, so labour demand rises alongside labour supply.
- **Improves the public finances and the dependency ratio:** migrants are disproportionately of working age and arrive with their education already paid for by the source country, so on average they pay more in tax than they cost in services, at least while young.
- **Restrains wage and price inflation** in shortage occupations, which can allow the central bank to keep interest rates lower for longer.

- **Raises flexibility:** migrants are geographically and occupationally mobile, so they move to where vacancies are, easing regional bottlenecks.
- **Entrepreneurship and innovation:** migrants are over-represented among business founders and among patent-holders in high-income economies.

Costs to the host economy

- **Downward pressure on wages** at the bottom of the distribution, where migrant and resident workers are closest substitutes. The evidence generally finds these effects small on average, but they are concentrated on the lowest-paid resident workers — an average that hides a distributional problem.
- **Pressure on public services and housing:** the fiscal contribution is a flow that arrives over time, while demand for a GP appointment, a school place or a rented flat is immediate. Where housing supply is inelastic, higher demand mainly raises rents.
- **Congestion and infrastructure strain** in the regions where migrants concentrate.
- **Deskilling and underemployment:** qualified migrants working below their skill level because their credentials are not recognised — a waste of human capital known as "brain waste".
- **Reduced incentive to train and to invest in capital:** if firms can always recruit ready-made skills from abroad, they may under-invest in apprenticeships and in labour-saving technology, which holds back productivity growth. This is the central argument behind the UK's post-2025 tightening.
- **Social and political costs** where integration is poor.

2.4 Effects on the Source Economy

Benefits

- **Remittances.** Money sent home by migrants is the single largest and most stable financial flow to developing countries. Officially recorded remittances to low- and middle-income countries reached **nearly \$700 billion in 2024**, growth of about 10%, exceeding the combined total of net FDI and official development assistance (World Bank). India is the largest recipient at roughly **\$129–137 billion in 2024**, followed by Mexico (about \$68bn), China (about \$48bn), the Philippines (about \$40bn) and Pakistan (about \$33bn).
- **Remittances are counter-cyclical and go straight to households**, financing food, school fees, healthcare and housing without passing through a government budget — which makes them unusually effective at reducing poverty.

- **Reduced unemployment and underemployment** at home, easing pressure on the labour market and on wages.
- **Return migration and "brain gain"**: returning migrants bring capital, skills, language and business contacts. The prospect of emigrating can also raise enrolment in education at home, leaving more skilled workers behind than would otherwise exist.
- **Diaspora networks** that generate trade, investment and knowledge flows.

Costs

- **Brain drain.** The emigration of the most skilled — doctors, nurses, engineers, teachers — is a loss of human capital that the source country paid to create. It is most damaging in small countries and in health systems: several African and Caribbean countries have trained large shares of their medical graduates only to see them recruited abroad.
- **Loss of the fiscal return on public education spending.**
- **Loss of the most dynamic workers**, weakening entrepreneurship and institutions at home.
- **Demographic distortion:** villages and regions left with the very young and the old, and the social costs of families separated for years.
- **Remittance dependency:** inflows can push up the real exchange rate and make other exports uncompetitive — a Dutch-disease effect — and can reduce the recipient household's incentive to work.
- **High transfer costs:** fees on small remittance transfers remain well above the UN's 3% target, a deadweight loss falling on the poorest senders.

Evaluation: Is Migration Good for the Economy?

- **It depends on which economy and which group.** World output almost certainly rises, because a worker is more productive in a high-productivity economy. But national gains and losses differ, and within each country there are winners (employers, consumers, high-skilled complements) and losers (competing low-skilled residents, and the source country's health system).
- **It depends on skill composition.** High-skilled migration tends to raise host productivity and fiscal revenue; low-skilled migration has a smaller fiscal benefit and a larger wage effect at the bottom.

- **It depends on the state of the economy.** In a labour-shortage economy migration fills vacancies with little wage effect; in a slack labour market the substitution effect is stronger.
- **It depends on elasticity of supply elsewhere.** The housing pressure argument is really an argument about inelastic housing supply, not about migration as such.
- **It depends on the time frame.** Fiscal benefits are front-loaded to working life and reverse in retirement; brain-drain losses can be reversed by return migration decades later.
- **Policy can change the answer.** Recognising foreign qualifications, taxing or compensating for health-worker recruitment, cutting remittance fees and building housing all shift the balance.

Case Study: UK Net Migration and the 2025 Rule Changes

UK net migration rose sharply after the post-Brexit points-based system opened new non-EU routes and after the Health and Care Worker visa was expanded during the pandemic. On the ONS's revised estimates it peaked at around 848,000 in the year to December 2023, fell to 331,000 in the year to December 2024, and fell again to **171,000 in the year to December 2025** — 813,000 arrivals against 642,000 departures (ONS, published 21 May 2026). The main driver of the fall was a 47% drop in non-EU arrivals for work-related reasons during 2025. Policy did much of this. Following the May 2025 immigration White Paper, from **22 July 2025** the Skilled Worker route again required graduate-level (RQF 6) skills rather than A-level-equivalent (RQF 3); the general salary threshold rose from **£38,700 to £41,700** (and the new-entrant rate from £30,960 to £33,400); the Immigration Salary List, which had allowed a 20% salary discount, was abolished; and the post-study Graduate route was shortened. The economics is a straight trade-off. Supporters argue restricting cheap labour supply forces employers to raise wages, train UK workers and invest in automation — raising productivity. Critics point out that social care, construction and hospitality already report acute recruitment difficulties, that training a domestic workforce takes years, and that a smaller working-age population worsens the dependency ratio and the long-run public finances. Both arguments are legitimate; a good answer weighs them and says which dominates over what time horizon.

Case Study: The Philippines — Labour Export as an Economic Strategy

The Philippines has made labour emigration an explicit part of its economic model, with a dedicated government apparatus to train, accredit, deploy and protect overseas workers. Filipino nurses, carers, seafarers, domestic workers and engineers work across the Gulf, North America,

Europe and East Asia, and the country is consistently among the world's top remittance recipients, receiving roughly **\$40 billion in 2024** (World Bank). Remittances finance household consumption, education and housing, support the peso, and cushion the economy against external shocks. The costs are the classic brain-drain costs: the Philippines trains nurses partly for other countries' health systems, and periodically faces shortages in its own hospitals; millions of children grow up with a parent abroad; and workers in some destinations have limited legal protection. The case is a compact way to argue both sides of the migration question in an exam answer — it is simultaneously a development success and a demonstration of the human capital that flows from poorer to richer health systems.

3. Outsourcing and Offshoring

Outsourcing: Contracting out an activity previously performed in-house to a separate firm. The activity may stay in the same country.

Offshoring: Relocating an activity to another country. It may be offshored to a third-party firm (offshore outsourcing) or kept in-house in a foreign subsidiary (a "captive" operation).

Nearshoring / friendshoring / reshoring: Moving activity to a nearby country, to a politically aligned country, or back home. All three have grown since the COVID-19 supply-chain disruption and the tariff conflicts of 2018 onwards.

3.1 Why Firms Outsource and Offshore

- **Lower labour costs** for a given quality of work — the dominant motive historically.
- **Access to specialist expertise** that the firm does not possess and could not efficiently build.
- **Focus on core competences**, contracting out payroll, IT support, logistics and customer service.
- **Converting fixed costs into variable costs**, improving flexibility when demand is volatile.
- **Round-the-clock operation** using time-zone differences.
- **Scale economies at the provider**, which serves many clients with the same platform.
- **Avoiding domestic employment regulation** — a motive that raises obvious ethical questions.

3.2 Effects on the Receiving (Offshore) Economy

- **Employment and wages:** large numbers of formal-sector jobs, usually paying well above the local average, and disproportionately open to young graduates and to women.
- **Skills and technology transfer:** training in international standards, English-language business practice and process management.
- **Export earnings and a stronger current account.**
- **Urban clustering:** agglomeration in a few cities, which raises local property costs and can widen regional inequality within the country.
- **Vulnerability:** the work is mobile. If wages rise or a cheaper location emerges, contracts move. Automation and AI now threaten the most routine voice and data-entry work directly.

3.3 Effects on the Sending (Home) Economy

- **Lower costs and prices** for domestic consumers, and improved competitiveness for the firms that offshore.
- **Structural unemployment** in the occupations displaced, concentrated regionally and often in mid-skill clerical and manufacturing work — a major cause of labour-market "hollowing out".
- **Downward pressure on the wages of remaining comparable workers**, because the threat of offshoring weakens bargaining power even where no jobs actually move.
- **Loss of the supply-chain and skill ecosystem**, which is very hard to rebuild — one reason reshoring is slower and more expensive than offshoring was.
- **Higher-value work retained:** in principle the home economy keeps design, R&D, brand and management, which is a gain provided displaced workers can move into it. The distributional problem is that a 55-year-old call-centre worker in a former industrial town typically cannot.

Case Study: India's IT and Business-Process Industry

India is the world's leading destination for offshored services, with roughly a **57% share of the global services-sourcing market** and around a 38% share of the business-process management segment. The sector generated revenues of about **\$283 billion in FY2024–25**, with exports the large majority of that, and it employs well over **five million people** directly, with women making up around 36% of the workforce (NASSCOM). The industry began with voice-based call-centre and back-office work and has moved steadily up the value chain into software engineering, analytics, finance and accounting, and global capability centres run in-house by multinationals. For India the

gains are substantial: formal, well-paid urban employment, foreign exchange earnings, and a genuine transfer of technical and managerial capability. The risks are equally clear: the work is concentrated in a handful of cities, it depends on continued access to Western client markets and on visa regimes, and generative AI is now automating precisely the routine tasks on which the industry was built — so the sector's future depends on continuing to move up the value chain faster than automation moves up behind it.

4. MNC Demand for Labour, Wages and Working Conditions

When a multinational becomes a major employer in a local labour market, it changes the wage and the conditions of work — but in which direction is genuinely contested, and a good answer argues both sides.

4.1 The Case That MNCs Raise Wages and Standards

- **They add to labour demand.** A rightward shift in the demand for labour raises both the wage and employment in a competitive market.
- **Foreign affiliates pay an observed wage premium** over comparable local firms, partly because they are more productive and partly to reduce costly turnover of trained staff.
- **They bring formal employment** — contracts, payslips, social insurance — into economies where much work is informal.
- **They train workers**, and those skills spill over when workers move to local firms.
- **They are reputationally exposed.** Global brands can be boycotted, which gives NGOs and journalists real leverage over supplier standards that local firms never face.

4.2 The Case That MNCs Depress Wages and Standards

- **Monopsony power.** Where an MNC or its suppliers dominate local employment, the firm faces an upward-sloping labour supply curve and can set the wage below the marginal revenue product of labour, employing fewer workers at a lower wage than a competitive market would.
- **Regime shopping.** The ability to relocate means the firm can credibly threaten to leave, weakening both unions and regulators — the "race to the bottom".
- **Arm's-length responsibility.** Much of the hardest work happens at sub-contractors several tiers down a supply chain, where the brand claims no direct employment relationship.

- **Squeezed supplier margins.** Aggressive purchasing terms and short lead times transmit cost pressure directly into overtime, sub-contracting and safety shortcuts at the factory.
- **Migrant and informal workers** in global supply chains often have the weakest legal protection of all.

Case Study: Bangladesh's Ready-Made Garment Industry

Ready-made garments are Bangladesh's industrial economy: the sector exported **\$39.35 billion in FY2024–25**, over **80% of the country's total export earnings**, and employs around **four million workers**, the large majority of them women (BGMEA). The gains are real. Factory work, for all its faults, pays more than subsistence agriculture, is paid directly to women rather than to a male head of household, and has been associated with later marriage and higher girls' school enrolment. Export earnings finance imports and reserves. The costs are equally documented: low wages by international standards, long hours, and a safety record that produced the Rana Plaza collapse in April 2013, which killed over 1,100 people and forced the creation of the international Accord on Fire and Building Safety. Since then, building and fire safety have improved substantially, but minimum-wage disputes have repeatedly led to strikes and protests. The case captures the central tension of global labour markets: the same MNC demand that offers the fastest available route out of extreme poverty also creates conditions that would be illegal in the buyer's home country — and the bargaining power sits with the buyer.

Case Study: Migrant Labour in the Gulf and the Kafala System

The Gulf states run the world's most migrant-dependent labour markets, with migrants forming a majority of the workforce in several of them. Employment has traditionally been governed by the *kafala* (sponsorship) system, under which a worker's legal status is tied to a named employer who controls their ability to change jobs or leave the country — a structure that removes the worker's outside option and therefore their bargaining power almost entirely. Reform has been real but incremental: Qatar removed the exit-permit requirement and the need for employer consent to change jobs in reforms from 2018 onwards, ahead of the 2022 World Cup, and **Saudi Arabia announced in June 2025 that it was abolishing kafala, with the change taking effect in October 2025**, giving workers the right to change employer after contract expiry, to travel without an exit visa, and to keep their own passports — a reform affecting more than 13 million migrant workers. Human-rights organisations continue to report passport confiscation, recruitment debt, restrictions on organising and poor living conditions in practice. For economics, the case is the clearest real-world illustration of monopsony: when a worker legally cannot quit, the wage can be

pushed far below the value of what they produce, and formal abolition of the rule only helps if enforcement follows.

5. Labour Market Flexibility and Regulation Across Countries

Labour market flexibility: The ease with which wages, hours, employment levels and the allocation of workers between firms and occupations can adjust to changing economic conditions. It has wage, numerical, functional and geographical dimensions.

5.1 Flexible and Regulated Models Compared

	More flexible model	More regulated model
Typical examples	United States, United Kingdom	France, Italy, Germany; Nordic countries combine high security with active retraining ("flexicurity")
Hiring and firing	Low employment protection; short notice; at-will employment in much of the US	Strong dismissal protection, statutory consultation and severance
Wage setting	Mostly individual or firm-level; low union density	Sectoral or national collective bargaining; high coverage even where membership is lower
Contract types	Widespread part-time, temporary, agency, zero-hours and gig work	Permanent full-time contracts dominate; temporary work restricted
Claimed advantages	Lower structural and long-term unemployment; faster reallocation of labour to growing sectors; attracts FDI	Greater income security; higher incentive for firms to train; less in-work poverty; lower inequality

Claimed disadvantages

Insecurity, in-work poverty, weaker training incentives, higher inequality

Insider–outsider problem: protected insiders do well while young people and outsiders face higher unemployment; slower adjustment to shocks

5.2 Regulation: The Minimum Wage

A statutory wage floor is the most examinable piece of labour-market regulation. In a competitive market, setting a wage above equilibrium creates excess supply of labour.

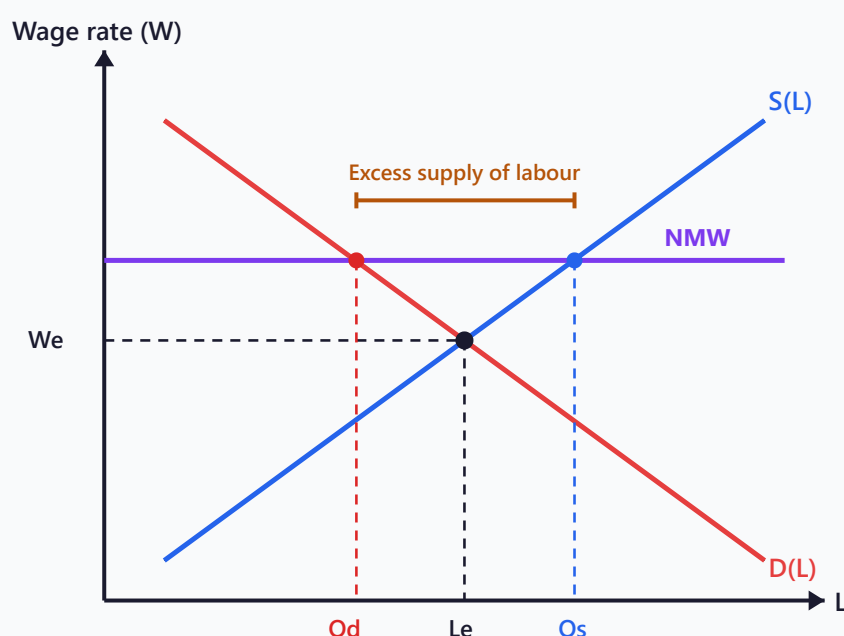


Figure 2: A national minimum wage set above the competitive equilibrium W_e . Quantity demanded falls to Q_d and quantity supplied rises to Q_s , producing excess supply ($Q_s - Q_d$). Note the crucial qualification: if the employer has monopsony power, a minimum wage between the monopsony wage and the competitive wage raises both the wage and employment — which is why the empirical evidence on moderate increases finds little job loss.

The UK's **National Living Wage rose to £12.71 an hour from April 2026** for workers aged 21 and over, up from £12.21. Evaluating it requires the monopsony qualification above, plus three further points: it does nothing for the unemployed; it can be absorbed through reduced hours, slower hiring or

automation rather than job cuts; and its bite varies enormously by region and sector, so a rate that is modest in London may be close to the median wage in parts of the North East and Wales.

5.3 Other Dimensions of Regulation

- **Employment protection legislation** — notice periods, redundancy rights, unfair-dismissal rules.
- **Working-time rules** — maximum hours, rest breaks, paid leave.
- **Trade union law** — recognition, balloting requirements, the right to strike. Union density has fallen across most rich economies, which is one of the accepted causes of the falling labour share of national income.
- **Health and safety enforcement**, which differs less in law than in the resources available to inspect and prosecute.
- **Active labour market policies** — retraining, job-search support and wage subsidies, the Nordic approach to making flexibility tolerable.

6. Skills Shortages and International Competitiveness

Skill-shortage vacancy: A vacancy that is hard to fill specifically because applicants lack the required skills, qualifications or experience — as distinct from a vacancy that is hard to fill because of pay, hours or location.

6.1 Causes of Skills Shortages

- **Technological change outpacing the education system** — demand for data, cyber, AI and green-energy skills has grown far faster than supply.
- **Long training lead times:** doctors, engineers and electricians take years to qualify, so supply is very inelastic in the short run.
- **Under-investment in training by firms**, which fear poaching — a classic positive externality and therefore a market failure justifying subsidy.
- **Occupational and geographical immobility of labour**, including housing costs that stop workers moving to where the jobs are.
- **Demographic change:** retirement of experienced cohorts in skilled trades and healthcare.

- **Migration policy** that restricts an employer's ability to recruit the skills abroad.
- **Poor information:** students choosing courses without knowing where labour demand will be in five years.

6.2 Consequences for Competitiveness

- **Higher unit labour costs**, as employers bid against each other for scarce workers without a matching rise in productivity.
- **Lost output and delayed projects** — construction and infrastructure are the standard examples.
- **Lower productivity growth**, because new technology cannot be adopted without the people who can operate it.
- **Reduced FDI attractiveness:** skilled labour availability is one of the first things a multinational examines when choosing a location, so shortages cost future investment as well as current output.
- **Wage inequality widens**, as the scarce skilled pull away from the abundant unskilled.

UK evidence (dated): the Employer Skills Survey 2024 found that **6% of employers had at least one skill-shortage vacancy**, down from 10% in 2022, and that **27% of all vacancies were skill-shortage vacancies**, down from 36% in 2022 — with skilled trades the worst-affected occupational group, where close to half of vacancies were attributed to a lack of applicant skills. The overall labour market has loosened since: the ONS put the UK vacancy rate at **2.1% in June to August 2026**. The policy tension is obvious: shortages have eased partly because demand has weakened, not because the skills problem has been solved, and the 2025 migration tightening removes one of the tools employers had been using to fill the gaps.

Evaluation: How Should a Country Respond to Skills Shortages?

- **Train:** apprenticeships, technical education, retraining for displaced workers. Effective but slow, and expensive, with an opportunity cost.
- **Import:** targeted skilled migration fills the gap immediately, but imposes a brain-drain cost on the source country and may reduce the incentive to train domestically.
- **Automate:** substitute capital for scarce labour. Raises measured productivity but requires investment, and is itself constrained by a shortage of engineers.
- **Raise wages:** the market solution. Draws workers in from other sectors and from inactivity, but simply reallocates scarce labour unless total supply rises, and raises costs.

- **Improve information and mobility:** careers advice, credential recognition and housing supply are cheap interventions that are frequently neglected.
- The right answer is normally a combination, sequenced so that migration buys the time that training needs.

7. Poverty: Absolute and Relative

7.1 Definitions and Measurement

Absolute poverty: A fixed standard — living below the income needed to meet basic needs such as food, shelter, clothing, safe water and healthcare. The World Bank's international extreme poverty line was raised in **June 2025 from \$2.15 to \$3.00 a day** in 2021 purchasing-power-parity prices; the new line is the mean of the national poverty lines of 23 low-income countries. On this basis around **808 million people — about 9.9% of the world's population, or one in ten — were in extreme poverty in 2025**. The re-basing added roughly 125 million people to the count overnight, a useful reminder that a "fact" about poverty is really a fact about a definition.

Relative poverty: Being poor relative to the standard of living of the society you live in. The UK and EU convention is a household income below **60% of contemporary median income**, measured both before and after housing costs. Relative poverty is a measure of inequality at the bottom of the distribution: in a recession where all incomes fall together, measured relative poverty can fall even as living standards decline.

UK evidence (dated): the Joseph Rowntree Foundation's *UK Poverty 2026* report, published January 2026 using 2023/24 data, found about **14.2 million people** — around a fifth of the population — in poverty, including **4.5 million children**, with child poverty rising for a third consecutive year, and a record **6.8 million people in "very deep" poverty** (incomes far below the poverty line).

7.2 Causes of Poverty

- **Unemployment and economic inactivity**, including long-term sickness, which has risen sharply in the UK since the pandemic.

- **Low pay, low hours and insecure work** — most UK children in poverty live in a household where someone works, so in-work poverty is now the dominant form.
- **Lack of education and skills**, which caps lifetime earning potential.
- **Poor health and disability**, which reduce earning capacity and raise living costs.
- **Housing costs**: the gap between the before- and after-housing-costs poverty rates is essentially a measure of how much housing is driving poverty.
- **Caring responsibilities**, falling disproportionately on women and on lone parents.
- **Discrimination** by gender, ethnicity, disability or caste.
- **Geography**: weak local labour markets, poor transport, and rural isolation.
- **Conflict and instability**, now the single largest driver of extreme poverty globally, as the remaining concentration of extreme poverty shifts towards fragile states.
- **The poverty trap** — a self-reinforcing cycle examined in §10.

8. Income and Wealth Inequality

Income inequality: The unequal distribution of the *flow* of earnings, benefits and investment income received over a period.

Wealth inequality: The unequal distribution of the *stock* of assets held — property, pensions, shares, savings, business equity — net of debt. Wealth is always far more unequally distributed than income, because it accumulates, generates further income, and is inherited.

UK evidence (dated): ONS/DWP figures put the UK's income Gini at **33% before housing costs and 37% after housing costs in 2024/25** (the financial year ending March 2025). On wealth, the most recent Wealth and Assets Survey — covering **April 2020 to March 2022** and published in January 2025 — put total private household wealth in Great Britain at **£13.6 trillion**, with median household wealth of **£293,700** and a threshold of **£1,200,500** to be in the wealthiest tenth of households. The survey's accreditation has been suspended from that round while quality improvements are made, with the next round due in 2026 — itself a worked example of the data-reliability limitation you should cite when evaluating any inequality statistic.

Global evidence (dated): World Inequality Lab and UN estimates for 2025 put the **top 10% of the world's population on about 53% of global income and around 75% of global personal wealth**,

while the bottom 50% hold roughly 2% of wealth.

8.1 Causes of Inequality Within Countries

- **Wage differentials:** differences in skills, qualifications, experience, occupation and the elasticity of supply of particular types of labour.
- **Skill-biased technological change:** technology complements skilled workers and substitutes for routine mid-skill workers, hollowing out the middle of the distribution.
- **Globalisation:** import competition and the threat of offshoring weaken low-skilled bargaining power in rich countries, while widening returns to capital and to internationally marketable skills.
- **Declining union density and collective bargaining coverage,** associated with a falling labour share of national income.
- **Asset prices:** decades of rising house and equity prices have transferred wealth to existing owners, which is largely a transfer from the young to the old.
- **Inheritance:** wealth passes across generations, entrenching advantage independently of effort.
- **The tax and benefit system:** progressive direct taxes and transfers reduce inequality; regressive indirect taxes and frozen thresholds can increase it. The UK's personal allowance (£12,570) and higher-rate threshold (£50,270) are frozen until April 2031, so "fiscal drag" pulls more people into higher bands as nominal earnings rise.
- **Labour-market structure:** growth of part-time, agency and gig work with limited progression.
- **Discrimination,** and unequal access to education, networks and capital.

8.2 Causes of Inequality Between Countries

- Differences in **physical and human capital** per worker, and therefore in productivity.
- Differences in **institutions** — property rights, contract enforcement, corruption and political stability — which determine whether investment happens at all.
- **Position in the global value chain:** countries performing assembly capture far less value than those supplying design, brand and technology.
- **Commodity dependence** and exposure to volatile world prices.
- **Demography and conflict.**
- Note the important distinction: inequality *between* countries has narrowed over the past three decades, largely because of growth in China and India, while inequality *within* many countries has

widened. Global inequality statistics can move in the opposite direction to national ones.

9. Measuring Inequality — the Lorenz Curve and Gini Coefficient

9.1 The Lorenz Curve

Lorenz curve: A graph plotting the cumulative percentage of income (or wealth) received against the cumulative percentage of the population, ranked from poorest to richest. A 45-degree line represents perfect equality. The further the curve bows away from that line, the greater the inequality.

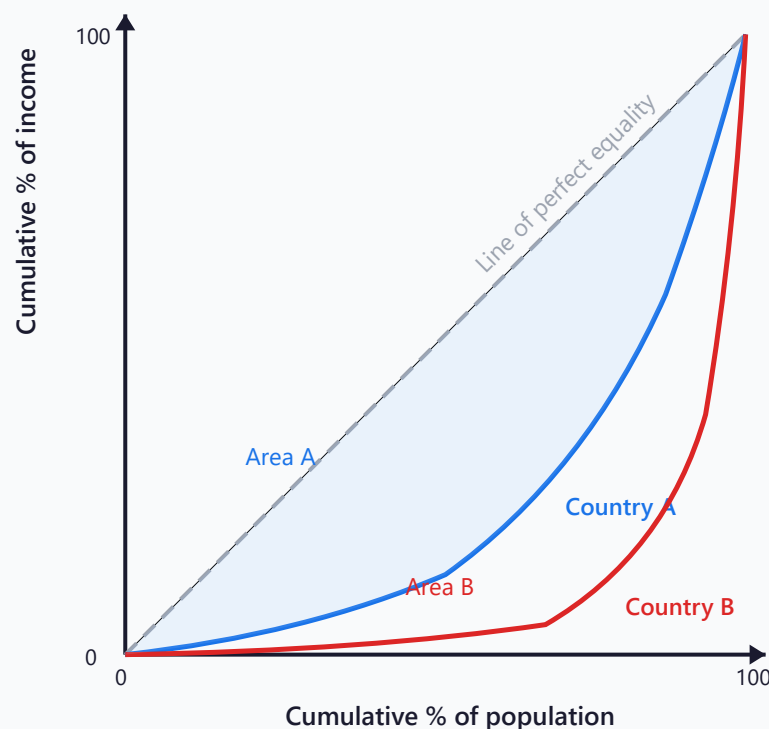


Figure 3: Lorenz curves. Country A has moderate inequality; Country B has high inequality, its curve lying further from the line of equality. The area between the equality line and the Lorenz curve determines the Gini coefficient.

9.2 The Gini Coefficient

Gini coefficient: A single number summarising the Lorenz curve, running from 0 (perfect equality — everyone receives the same) to 1 (perfect inequality — one person receives everything). It equals the area between the line of equality and the Lorenz curve, divided by the whole area under the line of equality. It is often quoted as a percentage, or "Gini index", from 0 to 100.

$$\text{Gini} = \text{Area A} \div (\text{Area A} + \text{Area B})$$

Gini (index)	Interpretation	Examples (most recent comparable survey)
Below 30	Low inequality	Slovakia (about 24), Denmark, Slovenia, Belgium and the Nordic economies
30 – 40	Moderate inequality	UK (33 before housing costs, 37 after, 2024/25), France, Germany, Japan
40 – 50	High inequality	United States (41.8 in 2023); China's own National Bureau of Statistics reported 0.467 for 2022, though the World Bank's survey-based estimate is lower
Above 50	Very high inequality	Brazil (51.6 in 2023); South Africa, the most unequal country the World Bank measures, at around 63

9.3 Limitations of the Gini Coefficient

- **Two countries can share a Gini and have completely different distributions** — one unequal at the top, one at the bottom. Lorenz curves that cross produce the same number for very different societies.
- **It says nothing about where the inequality sits.** A rise in the Gini could be the top 1% pulling away or the bottom decile falling behind — with very different policy implications.
- **It is usually measured on income, not wealth**, and therefore understates the concentration of economic power.
- **Definitional sensitivity:** before or after tax, before or after benefits, before or after housing costs, per household or equivalised per person — each choice moves the number materially. The UK's 33% and 37% figures are the same society measured two ways.

- **Survey under-coverage:** household surveys systematically miss the very richest (who do not respond) and some of the very poorest (homeless, institutionalised, undocumented), biasing the measure downwards.
- **It ignores benefits in kind** such as the NHS and state education, which reduce effective inequality substantially.
- **It is a snapshot, not a life course.** A society with high annual inequality but high mobility is different from one where the same families stay at the bottom — the Gini cannot tell them apart.
- **Data quality and comparability vary** across countries and across time, which is why cross-country Gini tables should always be read with the survey year attached.

Case Study: UK Inequality Trends

UK income inequality rose very sharply in the 1980s — the Gini climbed from roughly 0.25 in 1979 to around 0.34 by 1990 — driven by cuts to top income-tax rates, financial deregulation, the decline of manufacturing employment and of union power, and high unemployment. Since then the headline income Gini has been remarkably stable, at **33% before housing costs and 37% after housing costs in 2024/25**. The action has moved elsewhere. First, to **wealth**: rising house prices and asset values have widened the gap between owners and renters, and between generations, far faster than earnings have diverged. Second, to the **bottom of the distribution**: the JRF reports a record 6.8 million people in very deep poverty and 4.5 million children in poverty in 2023/24, even as the overall Gini barely moved — which is precisely the situation the Gini is bad at detecting. Third, to **fiscal drag**: with the personal allowance and higher-rate threshold frozen until April 2031, rising nominal wages pull more people into tax and into higher bands without any rate being announced. The lesson for an exam answer is that a stable Gini does not mean a stable distribution.

10. The Poverty Trap

Poverty trap (cycle of poverty): A self-reinforcing mechanism in which being poor generates the conditions that keep you poor. Low income means low saving and low investment in human capital, which means low productivity, which means low income.

The poverty trap in a welfare system is a related but distinct idea: where earning an extra pound causes benefits to be withdrawn and tax to be paid, the effective marginal deduction rate can

approach or exceed 70–80%, so extra work brings almost no extra income. The **unemployment trap** is the version where taking a job at all leaves a household barely better off than claiming.

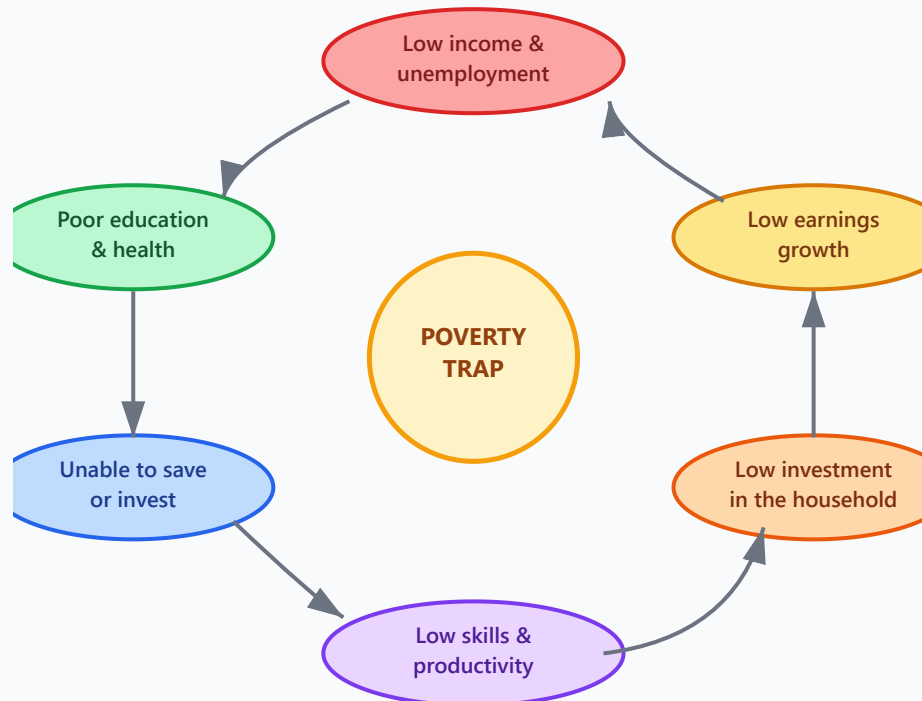


Figure 4: The poverty trap — a self-reinforcing cycle linking low income, poor education and health, inability to save, low productivity and weak investment. Anti-poverty policy works by breaking one or more links in the chain.

10.1 Breaking the Poverty Trap

- **Education and childcare:** conditional cash transfers such as Brazil's Bolsa Família pay families to keep children in school and attending health checks, attacking the education link directly. Free or subsidised childcare attacks the employment link for parents, especially lone parents.
- **Healthcare access:** reducing the burden of illness raises participation and productivity, and prevents the medical costs that push households into destitution.
- **Reducing the effective marginal deduction rate:** designing benefit tapers — such as Universal Credit's — so that work always pays materially more than not working.
- **Safety nets:** income support that prevents destitution and allows households to invest rather than sell assets in a crisis.

- **Affordable housing:** in the UK, housing costs are the single biggest wedge between before- and after-housing-costs poverty.
- **Access to credit and secure property rights,** so that poor households can smooth consumption and invest.

11. The Impact of Inequality on Individuals, Firms and the Economy

Spec 3.6.3 asks a question that measurement alone cannot answer: once you know the Gini coefficient, what follows from it? The specification splits the answer into three levels, and a strong answer keeps them apart.

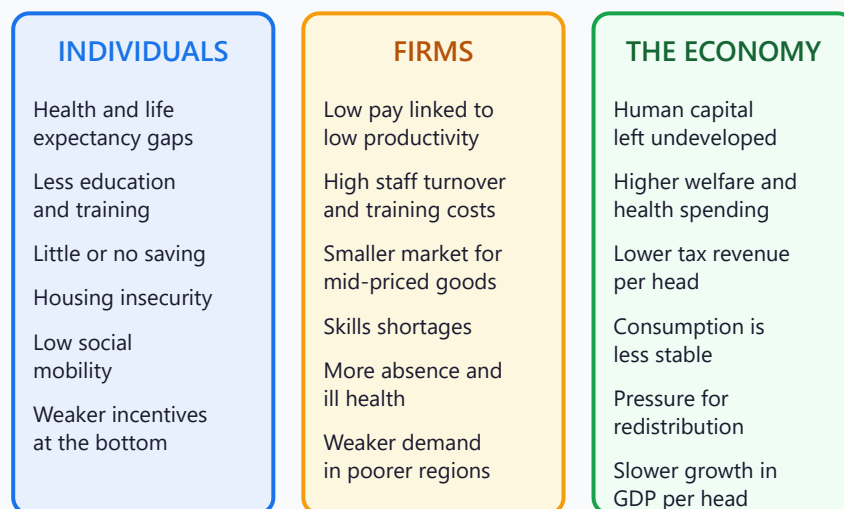


Figure 5: The three levels the specification asks for. The link between the first two columns runs both ways — low pay depresses productivity, and low productivity holds down pay.

11.1 On Individuals

- **Health and longevity.** Lower income is associated with worse health outcomes and shorter healthy life expectancy, partly through housing quality, diet and stress, and partly through later diagnosis.
- **Education and human capital.** A household with no financial slack cannot fund further study, unpaid internships or a move to where the jobs are. The talent is there; the finance is not.

- **Saving and wealth.** Income near subsistence leaves nothing to save, so wealth gaps widen faster than income gaps and then persist across generations through inheritance.
- **Incentives.** This cuts both ways, and the specification names it twice. Some inequality of reward is what makes education, effort and risk-taking worth undertaking; too much, combined with high effective deduction rates at the bottom, produces the poverty trap set out in section 10.

11.2 On Firms: the Low-Income, Low-Productivity Connection

Spec 3.6.3(b) singles this out, so it deserves its own paragraph. The connection runs in both directions, which is what makes it hard to break:

- **Low income → low productivity.** Workers who arrive underfed, poorly housed, in ill health or without training produce less per hour. Employers facing a cheap labour supply have little reason to invest in the machinery that would raise output per worker — why buy a machine when a worker is cheaper?
- **Low productivity → low income.** A firm cannot sustainably pay more than the value a worker adds, so low productivity caps wages. Raising pay without raising productivity raises unit labour costs and pushes the firm out of its market.
- **Consequences the firm actually feels:** high staff turnover and the recruitment and training costs that come with it; higher absence; more supervision; and, where inequality is wide, a shrinking middle market — demand polarises towards the cheapest and the most premium offers, and mid-priced ranges struggle.

Exam use: this is the strongest available counter to the claim that low pay is simply good for business. A firm gains from paying less only if productivity, turnover and absence are unaffected — and the evidence is that at the bottom of the distribution they are not. That is an evaluation point, not an assertion, so attach it to the specific labour market in the extract.

11.3 On the Economy

- **Growth.** Unused human capital is lost output that never appears in GDP. Against that, some inequality funds saving and investment, since higher-income households save a larger share of income — so the relationship between inequality and growth is not one-directional, and the balance depends on how the inequality arose.
- **Demand.** Poorer households have a higher marginal propensity to consume. A more unequal distribution of any given national income therefore tends to mean weaker and more credit-dependent

consumption.

- **The public finances.** Wide inequality raises spending on benefits, housing support and health while narrowing the tax base, so it shows up on both sides of the government's budget.
- **Cohesion and policy risk.** Sustained inequality raises political pressure for redistribution, higher taxes on capital and tighter labour regulation — a risk firms price into long-term investment decisions.

Case Study: Measuring the UK Gap

ONS measured the UK's Gini coefficient for household disposable income at 32.9% in the financial year ending 2024, against 33.1% the year before — a change ONS itself described as statistically non-significant. On a longer view the measure sits below its pre-pandemic level of 35.4% in FYE 2020 and below 34.7% a decade earlier in FYE 2015. Two lessons for an answer. First, single-year movements in the Gini are usually noise, so do not build an argument on one. Second, a falling Gini is not automatically good news: ONS attributed the FYE 2024 fall partly to lower mean disposable income among both the poorest and the richest households, which is inequality narrowing because the top fell, not because the bottom rose.

Evaluation: how much does inequality actually matter for growth?

- **Depends on the cause.** Inequality that reflects genuine differences in effort, skill and risk-taking preserves incentives; inequality that reflects inherited wealth, rationed education or monopoly rent destroys them.
- **Depends on the level of development.** In a low-income economy, concentrating income may be the only way to mobilise savings for investment; in a rich economy with deep capital markets, that argument is much weaker.
- **Depends on mobility.** A wide distribution with high mobility between positions has very different effects from the same distribution with none.
- **Measurement caveat.** The Gini compresses a whole distribution into one number and is relatively insensitive to what happens at the very top and the very bottom — exactly where the effects discussed above are concentrated. Pair it with the Lorenz curve and with poverty measures before drawing conclusions.

12. Government Policies to Reduce Poverty and Inequality

12.1 Progressive Taxation

A tax is progressive when the average rate rises with income. UK income tax is progressive by structure: a personal allowance of **£12,570**, then a basic rate of 20% on the next £37,700 (to a higher-rate threshold of £50,270), 40% above that up to **£125,140**, and 45% above that, with Scottish rates and bands differing. The allowance is tapered away between £100,000 and £125,140, producing an effective 60% marginal band. Note two evaluation points: the allowance and higher-rate threshold are **frozen until April 2031**, so the system becomes more redistributive over time through fiscal drag without any announced rate rise; and indirect taxes such as VAT and duties are regressive relative to income, offsetting part of the progressivity of direct tax.

12.2 Transfer Payments and Benefits

Universal Credit, the State Pension, Child Benefit, disability benefits and housing support raise the incomes of the poorest households directly, and are by far the quickest instrument available. They are also the largest single item of UK public spending, and their design determines the effective marginal deduction rates that create the poverty trap discussed in §10.

12.3 The Minimum Wage

The National Living Wage is **£12.71 an hour from April 2026** for workers aged 21 and over, with lower rates for younger workers and apprentices. It raises the pay floor at no direct cost to the Exchequer — indeed it raises tax revenue and reduces in-work benefit spending — but it only reaches those already in work, and its employment effects depend on the degree of monopsony power in the relevant market (Figure 2).

12.4 Public Services and Benefits in Kind

The NHS, state education, subsidised childcare and social housing are worth far more as a proportion of income to poor households than to rich ones, so they compress the distribution of *effective* living standards even when they do not appear in the income Gini at all. This is one of the most under-used evaluation points in exam answers on UK inequality.

12.5 Education, Training and Pre-distribution

Raising the skills of the low-paid tackles the cause rather than the symptom and is the most durable route to lower inequality, but it takes a generation to work and cannot help those already at the end of their working lives. "Pre-distribution" — competition policy, labour-market reform, housing supply, childcare — aims to change the distribution of market incomes before tax and benefits have to correct it.

12.6 The Equity–Efficiency Trade-off

The equity–efficiency trade-off: The classic claim, associated with Arthur Okun's "leaky bucket", that redistribution reduces the incentive to work, save, invest and take risks, so that transferring income from rich to poor shrinks the total available. Some of the water leaks out of the bucket on the way across.

The trade-off is real but is not unlimited, and modern evidence complicates it in both directions:

- **Against redistribution:** very high marginal rates can discourage effort, encourage avoidance, and drive mobile high earners and capital abroad — the Laffer-curve argument. Poorly designed benefit tapers genuinely do trap households.
- **For redistribution:** extreme inequality can itself reduce growth, by depressing demand (the poor have a higher marginal propensity to consume), by leaving talent in poor households undeveloped, by reducing social mobility, and by generating political instability that deters investment.
- **The design matters more than the level.** Investment in children's education and health is redistribution that raises efficiency rather than reducing it.
- **Empirically,** the Nordic economies combine high taxes and transfers with high employment rates and high productivity — evidence that the trade-off is weaker than the simplest version of the theory implies.

Evaluation: Policies to Reduce Poverty and Inequality

- **Progressive taxation:** effective and immediate, but exposed to avoidance, migration of high earners, and disincentive effects at the top and, through tapers, at the bottom.
- **Benefits:** the fastest way to cut measured poverty, but costly, subject to take-up failures, and capable of creating poverty and unemployment traps if tapers are steep.
- **Minimum wage:** costless to the state and effective for the low-paid in work, but does nothing for the unemployed or economically inactive, and can be absorbed through fewer hours or

faster automation.

- **Education and training:** the best long-run solution and the slowest; the payback period exceeds a parliament, which is a political-economy problem rather than an economic one.
- **Always ask: income or wealth?** Most UK policy targets income, while the fastest-growing inequality is in wealth. Capital gains, property and inheritance taxation are where the leverage is, and where the political resistance is greatest.
- **Always ask: relative or absolute?** Growth reduces absolute poverty; only redistribution reliably reduces relative poverty.

Case Study: The Nordic Model — Sweden

Sweden combines an open, competitive market economy with an extensive welfare state, and has one of the lowest Gini coefficients in the world. The model rests on: highly progressive income taxation with a top marginal rate around 52% after the 2025 reductions; universal public services, including healthcare, education through university and heavily subsidised childcare that keeps female participation among the highest in the OECD; strong sectoral collective bargaining rather than a statutory minimum wage; and active labour market policies that retrain displaced workers instead of protecting doomed jobs — flexibility combined with security. The results are low inequality alongside high employment and high productivity, which is the strongest available evidence against a severe equity–efficiency trade-off. But it is not a costless template. Swedish inequality has risen since the 1990s following financial deregulation, tax reform and difficulties integrating migrants into the labour market; the model requires a tax take and a level of institutional trust that many countries cannot replicate; and sectoral bargaining only works where union coverage is near-universal.

Case Study: Brazil — Redistribution Through Bolsa Família

Brazil has long had one of the world's highest Gini coefficients — **51.6 in 2023** (World Bank) — rooted in land concentration, racial inequality and a regressive tax structure. From 2003, Bolsa Família paid monthly cash transfers to poor families conditional on children attending school and receiving health checks. At its peak it reached around 14 million families — over 50 million people — for well under 0.5% of GDP, an extraordinary cost-effectiveness ratio, and it contributed to a substantial fall in extreme poverty and in the Gini over the following decade. It is the model for conditional cash transfer programmes worldwide. The limits matter too: transfers raise incomes but

do not change the underlying distribution of land, education quality or labour-market opportunity, so structural inequality persisted; gains were partly reversed in the 2015–16 recession; and the programme was renamed Auxílio Brasil in 2021 before being relaunched as Bolsa Família in 2023 — a reminder that redistributive policy is politically reversible in a way that education and infrastructure are not.

13. International Aid, NGOs and Welfare

Official Development Assistance (ODA): Government aid designed to promote the economic development and welfare of developing countries, given bilaterally (country to country) or multilaterally (through international institutions).

Non-governmental organisation (NGO): A non-profit organisation operating independently of government — such as Oxfam, Médecins Sans Frontières, Save the Children or the Red Cross — delivering humanitarian relief, health, education and advocacy.

13.1 Types of Aid

- **Humanitarian / emergency aid:** immediate relief after conflict, famine, earthquake or flood.
- **Project aid:** funding for a specific school, clinic, road or water system.
- **Programme / budget support:** money into a recipient government's budget for a sector or the whole programme.
- **Technical assistance:** expertise, training and institutional capacity-building rather than cash.
- **Tied aid:** aid conditional on being spent on the donor country's goods and services — which reduces its value to the recipient and is discouraged by the OECD.
- **Concessional lending and debt relief,** and increasingly climate finance.

13.2 How Aid and NGOs Improve Welfare

- **Direct welfare gains:** vaccination, treated bed-nets, safe water, school feeding and emergency food have measurable, attributable effects on mortality and school attendance.

- **Public goods that markets will not supply:** disease eradication, basic research, disaster preparedness.
- **Consumption smoothing after shocks,** preventing households from selling productive assets in a crisis and falling into a poverty trap.
- **Human capital:** health and education spending raises long-run productivity and therefore future incomes.
- **NGOs specifically** can reach populations that governments cannot or will not, operate in conflict zones, work quickly without bureaucracy, and act as advocates holding both donors and recipient governments to account.

13.3 Criticisms and Limitations

- **Dependency:** long-term aid may substitute for, rather than build, domestic tax capacity and accountability.
- **Diversion and corruption** where governance is weak.
- **Donor interests:** tied aid, and allocation driven by diplomatic or security priorities rather than need.
- **Volatility:** aid budgets are cut when donor politics change, which is the opposite of what a recipient planning a health system needs.
- **Displacement of local provision:** free or subsidised supply can undercut local producers and local health providers.
- **Fragmentation:** hundreds of donors and NGOs running parallel projects impose enormous coordination costs on small ministries.
- **Accountability:** NGOs answer to their donors, not to the people they serve, and are not elected.

Case Study: The UK Aid Budget and the 0.7% Commitment

The UN target for rich countries is to spend 0.7% of gross national income on ODA. The UK legislated for the target in 2015 and met it from 2013 to 2020 — one of the few large economies to do so. It was cut to **0.5% of GNI in 2021** during the pandemic, and on **25 February 2025** the Prime Minister announced a further cut to **0.3% of GNI from 2027** to fund an increase in defence spending, alongside a commitment to raise defence spending to 2.6% of GDP in 2027. Aid at 0.3% of GNI is estimated at about **£9.2 billion in 2027** — the lowest in cash terms since 2012 and the lowest as a share of national income since 1999, a real-terms reduction of roughly 40%. The episode is a compact illustration of opportunity cost in public finance: the same pound cannot fund

both a health programme abroad and a defence capability at home, and the government made an explicit judgement about which delivers more. It also demonstrates why recipients and NGOs regard aid as unreliable relative to remittances, and why some economists argue that trade access, migration routes and debt relief may do more for welfare in low-income countries than the aid budget does.

Exam Tips — Theme 3.2

- **Define with precision.** Absolute versus relative poverty; income versus wealth inequality; outsourcing versus offshoring; migration of workers versus migration of jobs. Examiners award marks for the distinction itself.
- **Use dated data.** "UK net migration was 171,000 in the year to December 2025" beats "migration has fallen". "The NLW is £12.71 from April 2026" beats "the minimum wage is about £12".
- **Always draw the labour market.** Migration is a supply shift; MNC entry is a demand shift; a minimum wage is a price floor. Then add the qualification — the demand shift from migrants' own spending, or monopsony power in the minimum-wage case.
- **Separate host from source.** A question on migration almost always wants both, and the effects are not mirror images because migrants are a selected group.
- **Attack the measure, not just the result.** The Gini is the easiest high-level evaluation in the whole topic: crossing Lorenz curves, before or after housing costs, income not wealth, survey under-coverage of the very rich.
- **Distinguish within-country from between-country inequality.** They have moved in opposite directions for thirty years, and conflating them is a common and costly error.
- **Apply the theory to a named case.** Bangladesh's garment sector, India's IT industry, the Gulf's kafala system, the Philippines' remittances, Bolsa Família and the Nordic model will cover almost any question in this topic.
- **Remember what is not on this specification.** 9EB0 does not ask for HDI, Harrod-Domar, Lewis, Prebisch-Singer or development strategies. Writing about them wastes time you need for labour-market and redistribution analysis.